

⁵ According to finance professor Charles Jones of Columbia Business School, the cost of a small, one-way trade (either a buy or a sell) in a New York Stock Exchange-listed stock dropped from about 1.25% in Graham's day to about 0.25% in 2000. For institutions like mutual funds, those costs are actually higher. (See Charles M. Jones, "A Century of Stock Market Liquidity and Trading Costs," at <http://papers.ssrn.com>.)

⁶ To help determine whether the stocks you own are sufficiently diversified across different industrial sectors, you can use the free "Instant X-Ray" function at www.morningstar.com or consult the sector information (Global Industry Classification Standard) at www.standardandpoors.com.

⁷ For more on the rationale for keeping a portion of your portfolio in foreign stocks, see pp. 186–187.

⁸ Source: spreadsheet data provided courtesy of Ibbotson Associates. Although it was not possible for retail investors to buy the entire S & P 500 index until 1976, the example nevertheless proves the power of buying more when stock prices go down.

* Here Graham has made a slip of the tongue. After insisting in Chapter 1 that the definition of an "enterprising" investor depends not on the amount of risk you seek, but the amount of work you are willing to put in, Graham falls back on the conventional notion that enterprising investors are more "aggressive." The rest of the chapter, however, makes clear that Graham stands by his original definition. (The great British economist John Maynard Keynes appears to have been the first to use the term "enterprise" as a synonym for analytical investment.)

* "High-coupon issues" are corporate bonds paying above-average interest rates (in today's markets, at least 8%) or preferred stocks paying large dividend yields (10% or more). If a company must pay high rates of interest in order to borrow money, that is a fundamental signal that it is risky. For more on high-yield or "junk" bonds, see pp. 145–147.

[†] As of early 2003, the equivalent yields are roughly 5.1% on high-grade corporate bonds and 4.7% on 20-year tax-free municipal bonds. To update these yields, see www.bondsonline.com/asp/news/composites/html or www.bloomberg.com/markets/rates.html and www.bloomberg.com/markets/psamuni.html.

* For a recent example that painfully reinforces Graham's point, see p. 146 below.

* Bond prices are quoted in percentages of "par value," or 100. A bond priced at "85" is selling at 85% of its principal value; a bond originally offered for \$10,000, but now selling at 85, will